HOWDEN JOINERY CORPORATE SERVICES LIMITED

FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 26 DECEMBER 2015

REGISTERED NUMBER: 01767386

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HOWDEN JOINERY CORPORATE SERVICES LIMITED
STRATEGIC REPORT AND DIRECTORS' REPORT

STRATEGIC REPORT

The Company is a wholly owned subsidiary of Howden Joinery Group Plc, and operates as part of the Howden Joinery Group Plc group (the "Group"). The Company's principal activities are providing and managing employees for other Group companies. There have not been any significant changes in the Company's principal activities in the period under review. The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next financial period.

The Group manages its operations on a Group basis and therefore prepares a consolidated group report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2014, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

• Fair review of the business	pages 12-16
• Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings	pages 19-22
• Financial and non-financial KPIs	pages 15, 23-35
• Future developments	pages 5, 15
• Information about environmental matters, social, community and human rights issues	pages 23-35
• Description of business model and strategy	pages 6-12
• Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons	pages 45, 54, 73-77, 91

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

By Order of the Board

Forbes McNaughton – Company Secretary
10 March 2016

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 26 December 2015 *(previous year: 52 weeks ended 27 December 2014)*.

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were:

G Hopkins (appointed 8 September 2015)
M Ingle
T Keating (appointed 8 September 2015)
J McManus (resigned 8 September 2015)
M Robson

No director held any beneficial interest in the shares of the Company at any time during the period.

DIVIDEND

The directors do not recommend that a dividend be paid *(2014:£nil)*.

EMPLOYEES

The Company had 38 employees *(2014: 35)* during the period and staff costs amounted to £37,328,000 *(2014: £32,070,000)*.

POLITICAL DONATIONS

The Company did not make any political donations during the period *(2014: £nil)*.

AUDITOR

Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware; and
- the director has taken all the steps he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006.

Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

REGISTERED OFFICE

The Company's registered office is 40 Portman Square, London, W1H 6LT.

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc, which is legally binding. For this reason the directors continue to adopt the going concern basis in preparing the financial statements.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

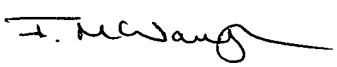
The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records which are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board



Forbes McNaughton – Company Secretary
10 March 2016

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY CORPORATE SERVICES LIMITED

We have audited the financial statements of Howden Joinery Corporate Services Limited for the 52 weeks ended 26 December 2015 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 18. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor
As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements
An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the annual report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on financial statements
In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 26 December 2015 and of its profit for the 52 weeks then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006
In our opinion the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception
We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Catherine Lucy Newman (Senior statutory auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditor
London, United Kingdom
10 March 2016

HOWDEN JOINERY CORPORATE SERVICES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 26 DECEMBER 2015

	Note	**52 Weeks to 26 December 2015 Total £'000**	52 Weeks to 27 December 2014 Before Exceptional Items £'000	Exceptional Items (note 3) £'000	Total £'000
Turnover		**57,201**	49,211	-	49,211
Selling and administrative costs		**(44,601)**	(47,810)	(987)	(48,797)
Operating profit	2	**12,600**	1,401	(987)	414
Loss on disposal of fixed assets		**(15)**	(34)	-	(34)
Profit on ordinary activities before interest		**12,585**	1,367	(987)	380
Intercompany interest payable		**(1,734)**	-	-	-
Profit on ordinary activities before taxation		**10,851**	1,367	(987)	380
Tax credit on profit on ordinary activities	6	**1,471**	3,585	105	3,690
Profit for the financial period		**12,322**	4,952	(882)	4,070

There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented.

HOWDEN JOINERY CORPORATE SERVICES LIMITED
BALANCE SHEET AT 26 DECEMBER 2015

	Notes	26 December 2015 £000	26 December 2015 £000	27 December 2014 £000	27 December 2014 £000
Fixed assets					
Tangible assets	7		**8,420**		7,924
Investments	8		**39,045**		40,147
			47,465		48,071
Current assets					
Debtors	9	**69,091**		55,463	
Cash at bank and in hand		**305**		48	
		69,396		55,511	
Current liabilities					
Creditors : amounts falling due within one year	10	**(115,694)**		(117,377)	
Net current liabilities			**(46,298)**		(61,866)
Total assets less current liabilities			**1,167**		(13,795)
Creditors: amounts falling due after more than one year					
Provisions for liabilities and charges	11		**(4,148)**		(4,577)
Net liabilities			**(2,981)**		(18,372)
Capital and reserves					
Share capital	13		**12,358**		12,358
Profit and loss account	14		**(323,133)**		(335,455)
Capital contribution reserve	14		**280,315**		280,315
Shared-based payment reserve	14		**27,479**		24,410
Shareholder's deficit			**(2,981)**		(18,372)

Approved by the Board of Directors, authorised for issue, and signed on their behalf by

T Keating
Director
10 March 2016

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and the preceding periods.

BASIS OF PREPARATION

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards.

The financial statements have also been prepared on the going concern basis as discussed in the Directors' report on page 1.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc.

The financial statements include the results for the 52 week period ended 26 December 2015 *(2014: 52 weeks to 27 December)*, being the Saturday nearest to the Company's accounting reference date of 31 December.

TURNOVER

Turnover represents the gross recharges of various corporate and information technology services to other Group companies. Revenue is recognised on the provision of qualifying services.

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation or provision for impairment. Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows:

Plant and machinery, fixtures and fittings	10% - 25% p.a.
Leasehold properties	Over the life of the lease

Assets in the course of construction are not depreciated until such time as the asset is available for use.

INVESTMENTS

Investments represent shares in the ultimate parent which are shares held by employee share ownership trusts, and are recorded at cost, including expenses, less amounts written off. Amounts written off these shares are calculated so as to charge the cost of the shares to profit and loss over the vesting period of the underlying share options or awards.

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered, using tax rules and laws that have been enacted or substantively enacted by the balance sheet date.

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date. Except where otherwise required by Accounting Standards no timing differences are recognised in respect of:

(a) property revaluation surpluses where there is no commitment to sell the asset;
(b) gains on sale of assets where those assets have been rolled over into replacement assets; and
(c) additional tax which would arise if profits of overseas subsidiaries were distributed, and deferred tax assets to the extent that they are regarded as not likely to be recovered.

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted.

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

1. ACCOUNTING POLICIES (Cont'd)

FOREIGN CURRENCY

Transactions denominated in foreign currencies are translated into sterling and recorded at the rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at rates ruling at the balance sheet date. Foreign exchange profits and losses arising during the period are included in proft on ordinary activities before taxation.

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Company. All other leases are classified as operating leases. For property leases, the land and building elements are treated separately to determine the appropriate lease classification.

Finance leases

Assets funded through finance leases are capitalised as property plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter. The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease. The resulting lease obligations are included in liabilities net of finance charges. Finance costs on finance leases are charged directly to the Profit & Loss Account.

Operating leases

Assets leased under operating leases are not recorded on the balance sheet. Rental payments are charged directly to the Profit & Loss Account.

PENSIONS

i) Defined benefit pension schemes:

The Company participates in its parent company's Howden Joinery Group Plc group retirement benefit scheme. This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme. The assets and liabilities of the scheme are held separately from those of the Howden Joinery Group Plc. The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it were a defined contribution scheme. This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes.

ii) Defined contribution pension schemes:

The Howden Joinery Group Plc operates two defined contribution schemes for its employees. For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

EXCEPTIONAL ITEMS

Certain items do not reflect the Company's underlying trading performance. If such items are significant in terms of size or nature, they would be classified as exceptional. Gains and losses on these discrete items, such as profits on disposal of assets, operations, and property interests, restructuring costs, and other non-operating items can have a material impact on the absolute amount of and trend in profit from operations and the result for the period. Therefore any material gains and losses on such items are analysed as exceptional. Where there are any net immaterial amounts arising from such items during a period, they are not presented as exceptional items.

1 ACCOUNTING POLICIES (cont'd)

SHARE-BASED PAYMENTS

FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005.

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Howden Joinery Group Plc. Equity-settled share-based payments are measured at fair value at the date of grant. The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest.

Fair value is measured by use of a binomial model or a Black-Scholes model, according to the relative complexity of the type of share-based payment to be measured. The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations.

2. RESULT ON ORDINARY ACTIVITIES BEFORE TAXATION

The result on ordinary activities before taxation is stated after charging:

	52 weeks to 26 Dec 2015	52 weeks to 27 Dec 2014
	£000	£000
Depreciation and other amounts written off fixed assets:		
- owned assets	**2,939**	2,964
Hire of plant and machinery – operating lease rentals	**391**	427
Rent payable on property	**8,410**	9,188
Write back of creditor	**(10,334)**	-

The write back of creditor relates to an amount previously payable which is no longer due.

The analysis of auditor's remuneration is as follows:

	52 weeks to 26 Dec 2015	52 weeks to 27 Dec 2014
	£000	£000
Fees payable to the Company's auditor for the audit of the Company's annual accounts	**27**	27
Total audit fees	**27**	27
Tax compliance services	**31**	31
Total non-audit fees	**31**	31

3. EXCEPTIONAL ITEMS

Exceptional items charged to the profit and loss account in the 52 weeks to 27 December 2014 are analysed as follows:

Discontinued operations:	**£000**
Increase to discontinued operations property provision	**987**
Tax credit on exceptional item	**(105)**
Net exceptional items	**882**

There were no exceptional items in the current period.

4. STAFF NUMBERS AND COSTS

The average number of persons (including directors) employed by the Company during the period was:

	26 Dec 2015	27 Dec 2014
	No.	No.
Management and administration	38	35

The aggregate payroll costs of these persons were as follows:	£000	£000
Wages and salaries	7,402	6,734
Share-based payments	3,069	3,177
Social security costs	3,000	3,876
Other pension costs	23,857	18,283
	37,328	32,070

5. REMUNERATION OF DIRECTORS

	26 Dec 2015	27 Dec 2014
Directors' remuneration	£000	£000
Directors' emoluments	3,536	2,949
Pension costs	56	14
	3,592	2,963

The number of directors who:	No.	No.
Are members of a defined benefit pension scheme	3	1
Are members of a money purchase pension scheme	1	1
Exercised options over shares	3	2

Remuneration of the highest paid director	£000	£000
Directors' emoluments	1,489	1,485
Pension costs	-	-
	1,489	1,485

The highest paid director exercised share options during the year. Based on normal retirement age the accrued pension of the highest paid director under the Company's defined benefit scheme, should he leave employment at the end of the financial year, is £54,300 (*2014: £49,800).*

6. TAX ON PROFIT ON ORDINARY ACTIVITIES

	52 weeks to 26 Dec 2015	52 weeks to 27 Dec 2014
	£000	£000
UK Corporation tax – current tax	(1,744)	(3,684)
Adjustment for prior periods	(205)	(262)
Current tax credit	(1,949)	(3,946)
Deferred tax – current period	504	149
Deferred tax – adjustments in respect of prior periods	(26)	107
Deferred tax charge	478	256
Tax credit on profit on ordinary activities	(1,471)	(3,690)

6. TAX ON PROFIT ON ORDINARY ACTIVITIES

Factors affecting current period corporation tax

The current period corporation tax credit is different to the standard rate of corporation tax in the UK of 20.25% *(2014: 21.5%)* for the following reasons:

	26 Dec 2015 £000	27 Dec 2014 £000
Profit on ordinary activities before taxation for the period	**10,851**	380
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 20.25% *(2014: 21.5%)*	**2,197**	82
Effects of:		
Expenses not deductible for tax purposes	**172**	342
Depreciation in excess of capital allowances	**(12)**	(13)
Transfer pricing adjustment on non-trading loans		(504)
Share-based payments	**(1,939)**	(3,598)
Loss on disposal of fixed assets	**3**	7
Items not deductible for tax purposes	**(2,165)**	-
Prior period adjustment	**(205)**	(262)
Current tax credit for the period	**(1,949)**	(3,946)

7. TANGIBLE FIXED ASSETS

	Leasehold Properties £000	Plant and machinery £000	Fixtures and fittings £000	Assets in the course of construction £000	Total £000
Cost					
At 27 December 2014	3,498	40,812	432	950	45,692
Transfers	-	950	-	(950)	-
Additions	56	2,563	19	829	3,467
Disposals	(16)	(412)	(6)	-	(434)
At 26 December 2015	**3,538**	**43,913**	**445**	**829**	**48,725**
Depreciation					
At 27 December 2014	1,712	35,826	230	-	37,768
Charge for the period	350	2,492	97	-	2,939
Disposals	(16)	(380)	(6)	-	(402)
At 26 December 2015	**2,046**	**37,938**	**321**	**-**	**40,305**
Net book value					
At 26 December 2015	**1,492**	**5,975**	**124**	**829**	**8,420**
At 27 December 2014	1,786	4,986	202	950	7,924

8. INVESTMENTS

	Investment in shares
Cost	**£000**
At 27 December 2014	40,147
Disposals	(1,102)
At 26 December 2015	**39,045**
Net book value	
At 27 December 2014	40,147
At 26 December 2015	**39,045**

The investment is in the listed 10p ordinary shares of the Company's ultimate parent, Howden Joinery Group Plc. The shares are held in the employee share ownership trusts, as detailed below:

	Shareholding (No. of shares)	Market value on 26 Dec 2015 £000	Dividends waived
Howden Joinery Employee Share Trust	4,721,674	2,411	Yes
Free Share Trust	915,098	4,740	Partial
Nominee Accounts	93,833	486	No

As at 26 December 2015, 76% of the above shares were allocated to existing options awards *(2014: 92%)*. The trusts have been funded by the employing companies in the Group to acquire shares in Howden Joinery Group Plc. The cost of running these trusts is included in the profit and loss account. The trusts undertake the following activities:

Howden Joinery Employee Share Trust
To transfer shares to executive directors when shares vest under various share option and long term investment plans.

Free Share Trust
To transfer shares to employees when shares vest under the Freeshare Plan.

Nominee Accounts
To hold restricted shares for individual employees.

9. DEBTORS

	26 Dec 2015	27 Dec 2014
Amounts falling due within one year:	**£000**	£000
Trade debtors	**87**	53
Amounts owed by parent and fellow subsidiary undertakings	**60,795**	41,881
Other debtors	**38**	32
Deferred tax asset (note 12)	**2,350**	2,828
Prepayments and accrued income	**3,108**	5,821
VAT	**969**	1,165
Corporation tax	**1,744**	3,683
	69,091	55,463

10. CREDITORS

	26 Dec 2015	27 Dec 2014
Amounts falling due within one year:	**£000**	£000
Trade creditors	**2,852**	2,889
Amounts owed to parent and fellow subsidiary undertakings	**100,070**	97,763
Other taxes and social security	**523**	754
Other creditors	**288**	194
Accruals	**11,961**	15,777
	115,694	117,377

Interest has been charged on the net balances owing to fellow Group companies at a rate of 2% (*2014: nil*). There are no repayment terms and the balances are unsecured.

11. PROVISIONS FOR LIABILITIES AND CHARGES

	Property Provision
	£000
At 27 December 2014	4,577
Utilised	(809)
Created	520
Released	(140)
At 26 December 2015	**4,148**

The property provision mainly covers onerous leases. For any such leases, the Company provides for any shortfall between rent payable and rent receivable on any non-trading leased properties. The provision is based on the period until the end of the lease, or until the Company can cover the shortfall by subletting, assigning or surrendering the lease. None of the provisions are short term. The property provision also includes amounts for any related shortfalls in business rates on these properties, and for dilapidations.

12. DEFERRED TAXATION

	26 Dec 2015	27 Dec 2014
Analysis of deferred tax balances:	£000	£000
Accelerated capital allowances	**1,241**	1,489
Short term timing differences	**1,109**	1,339
Total	**2,350**	2,828

Reconciliation of the movements in the deferred tax asset :	£000
At the start of the period	**2,828**
Charged during the period	**(504)**
Adjustment in respect of prior periods	**26**
At the end of the period	**2,350**

*In November 2015, Parliament approved the Finance Bill which reduces the UK standard rate of corporation tax from 20% to 19% with effect from 1 April 2017, and 19% to 18% from 1 April 2020 . All deferred tax assets and liabilities have been recognised at 18%, with the exception of items expected to reverse before the rate reduces to 18%.

There are potential deferred tax assets in relation to trading losses totalling £5.6m (2014: £6.2m). It is not considered probable that future taxable profits will be available against which the unused tax losses can be utilised. These losses may be carried forward indefinitely.

13. SHARE CAPITAL

	26 Dec 2015	27 Dec 2014
	£000	£000
12,500,000 authorised ordinary shares of £1 each	**12,500**	12,500
12,357,978 allotted issued and fully paid ordinary shares of £1 each	**12,358**	12,358

14. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' DEFICIT

Movements during the period were as follows:

	Share capital	Profit and loss reserve	Capital contribution reserve	Share-based payment reserve	Shareholder's deficit
	£'000	£'000	£'000	£'000	£'000
As at 27 December 2014	12,358	(335,455)	280,315	24,410	(18,372)
Profit for the period	-	12,322	-	-	12,322
Share-based payments	-	-	-	3,069	3,069
As at 26 December 2015	**12,358**	**(323,133)**	**280,315**	**27,479**	**(2,981)**

The capital contribution reserve is distributable.

15. FINANCIAL COMMITMENTS

The annual commitments under non-cancellable operating leases were as set out below:

	26 Dec 2015		27 Dec 2014	
	Property	Plant and Machinery	Property	Plant and Machinery
Operating leases which expire:	£000	£000	£000	£000
Within one year	-	**215**	43	25
Between two and five years	**60**	**278**	7,290	151
Over five years	**1,957**	-	2,017	-
	2,017	**493**	9,350	176

During the year the Company has transferred the responsibility for some properties to a fellow 100%-owned Group subsidiary, which now reports the related lease commitments in their own accounts.

16. PENSIONS

i) Defined contribution: auto-enrolment plan

The Howden Joinery Group Plc group ("the Group") operates an auto-enrolment defined contribution scheme for employees, in line with recent UK Government legislation. Under the terms of this scheme, employees make pension contributions out of their salaries, and the Group also makes additional contributions.

The total cost charged to income in respect of this scheme in the current period of £36,000 *(2014: £7,000)* represents the Company's contributions due and paid in respect of the period.

ii) Defined contribution: other plan

The Group operates a defined contribution scheme for its employees. The assets of this scheme are held separately from those of the Group, and are under the control of the scheme trustees. This scheme began operation during 2006.

The total cost charged to income in respect of this scheme in the current period of £42,000 *(2014: £46,000)* represents the Company's contributions due and paid in respect of the period.

16. PENSIONS (cont'd)

iii) Defined benefit plan

The Group operates a funded pension scheme which provides benefits based on the pensionable pay of participating employees. This scheme was closed to new entrants from April 2013. The assets of the scheme are held separately from those of the Group, being invested with independent fund managers.

Contributions are charged to the consolidated income statement so as to spread the cost of pensions over the employees' working lives with the Group. The present value of the defined benefit obligation, the related current service cost, and past service cost are determined by a qualified actuary using the projected unit method.

The most recent completed actuarial valuation was carried out at 5 April 2014 by the scheme actuary. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2014 valuation to 26 December 2015, and has restated the results onto a basis consistent with market conditions at that date. This exercise showed a scheme deficit at 26 December 2015 of £49.2m *(2014: £142.6m)*, before netting off the associated deferred tax asset.

The roll-forward was done according to the requirements of International Accounting Standard 19: "Employee Benefits" ("IAS 19", under which the Howden Joinery Group reports its results), rather than FRS 17 (under which this Company reports its results). However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19.

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits". The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17. It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Howden Joinery Group Plc.

The Company's defined benefit pension charge for the year was £23.8m *(2014: £18.2m)*. There were no outstanding contributions at the period end.

17. SHARE BASED PAYMENTS

1) Details of each scheme

The Company recognised a charge of £3.1m *(2014: £3.2m)* in respect of share-based payments during the period. The Group has various share-based payment schemes, which are all equity-settled. The main details of all schemes which existed during the period are given below.

a) Executive Co-Investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan.

2012 award: 25% of the award will vest if PBT growth at the end of the 2014 financial year is at a rate of 6% p.a., based on the December 2011 accounts. 100% of the award will vest if PBT growth on the same basis is 12% or above. ***2013 award:*** 25% of the award will vest if PBT growth at the end of the 2015 financial year is at a rate of 6% p.a., based on the December 2012 accounts. 100% of the award will vest if PBT growth on the same basis is 12% or above. ***2014 award:*** 15% of the award will vest if PBT growth at the end of the 2016 financial year is at a rate of 8% p.a., based on the December 2013 accounts. 100% of the award will vest if PBT growth on the same basis is 20% or above. ***2015 award:*** 15% of the award will vest if PBT growth at the end of the 2017 financial year is at a rate of 8% p.a., based on the December 2014 accounts. 100% of the award will vest if PBT growth on the same basis is 20% or above

17. SHARE-BASED PAYMENTS (continued)

b) Executive Share Options

This was a discretionary share option plan which was granted in 2005. The options were granted with an exercise price equal to market value at the date of grant. The vesting period was three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). The performance conditions were that EPS had to grow by at least RPI + 9%. If this was achieved, the options vested fully. If this was not achieved the was no vesting

c) Long Term Incentive Plan - Options

This is a discretionary plan under which the Group may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture). Unless otherwise specified all awards have substantially the same terms.

(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011.

(ii) Market value options which vest after a three year period from the date of grant. 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved.

(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment.

(iv) Market value options:

2011 Grant: 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p.a., based on the December 2010 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above.

2012 grant: 25% of the award will vest if PBT growth at the end of the 2014 financial year is at a rate of 6% p.a., based on the December 2011 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above.

2013 grant: 25% of the award will vest if PBT growth at the end of the 2015 financial year is at a rate of 6% p.a., based on the December 2012 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above.

2014 grant: 15% of the award will vest if PBT growth at the end of the 2016 financial year is at a rate of 8% p.a., based on the December 2013 accounts. 100% of the award will vest if PBT growth on the same basis is 20% or above

(v) Performance share plan. This is a conditional share award. The 2015 performance conditions are as follows: if PBT growth at the end of the 2017 financial year is below 8% p.a., based on the December 2014 accounts, there will be no vesting. If PBT growth is 8% on the same basis, 15% of the award will vest. If PBT growth on the same basis is 20% or above, 100% of the award will vest. If PBT growth is between 8% and 20%, the shares will vest on a sliding scale.

d) Share Award Plan – subject to continuing employment

This is a discretionary plan under which the Group may grant nil cost options subject to conditions as determined by the Group. 2013 award: shares will vest at the end of a five year period commencing on the date of grant, subject to continuing employment.

17. SHARE-BASED PAYMENTS (continued)

2) Movements – The following tables show the number and weighted average exercise prices ("WAEP") of each category of options during the period, and movements in each category.

a) Executive Co-Investment Plan: 2011, 2012, 2013, 2014 & 2015 Awards	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at start of period	5,227,865	0.00	6,700,409	0.00
Granted in period	730,399	0.00	989,723	0.00
Lapsed in period	(221,432)	0.00	(274,308)	N/A
Exercised in period	(2,775,835)	0.00	(2,187,959)	N/A
In issue at end of period	2,960,997	0.00	5,227,865	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		4.42		3.46
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.04		0.92	
Weighted average fair value of options granted during the period (£)	4.38		3.62	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

b) Executive Share Options	52 weeks to 27 December 2014	52 weeks to 27 December 2014
i) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%	Number	WAEP (£)
In issue at beginning of period	275,483	1.07
Granted in period	0	N/A
Lapsed in period	0	N/A
Exercised in period	(275,483)	1.07
In issue at end of period	0	N/A
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average share price for options exercised during the period		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A	
Weighted average fair value of options granted during the period (£)	N/A	
Range of exercise prices for options outstanding at the period end (£):		
- from	N/A	
- to	N/A	

17. SHARE-BASED PAYMENTS (continued)

b) Executive Share Options	52 weeks to 27 December 2014	52 weeks to 27 December 2014
ii) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	Number	WAEP (£)
In issue at beginning of period	2,147,229	0.50
Granted in period	0	N/A
Lapsed in period	0	N/A
Exercised in period	(2,147,229)	0.50
In issue at end of period	0	0.50
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average share price for options exercised during the period		3.71
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A	
Weighted average fair value of options granted during the period (£)	N/A	
Range of exercise prices for options outstanding at the period end (£):		
- from	N/A	
- to	N/A	

c) Long Term Incentive Plan - Options	52 weeks to 27 December 2014	52 weeks to 27 December 2014
i) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	Number	WAEP (£)
In issue at beginning of period	100,000	0.36
Granted in period	0	N/A
Lapsed in period	0	N/A
Exercised in period	(100,000)	0.36
In issue at end of period	0	N/A
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average share price for options exercised during the period		3.90
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A	
Weighted average fair value of options granted during the period (£)	N/A	
Range of exercise prices for options outstanding at the period end (£):		
- from	N/A	
- to	N/A	

17. SHARE-BASED PAYMENTS (continued)

c) Long Term Incentive Plan - Options

ii) 2012 PBT increase by between RPI and RPI + 8%	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	2,276	0.81	1,394,671	0.81
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(2,276)	0.81	(1,392,395)	0.81
In issue at end of period	0	N/A	2,276	0.81
Exercisable at end of period	0	N/A	2,276	0.81
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		4.89		3.71
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.81		0.81	
- to	0.81		0.81	

iii) Conditional Share Award - subject to continuing employment	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	3,200	0.00	3,400	0.00
Granted in period	0	N/A	900	0.00
Lapsed in period	(200)	0.00	0	N/A
Exercised in period	(1,300)	0.00	(1,100)	0.00
In issue at end of period	1,700	0.00	3,200	0.00
Exercisable at end of period	0	N/A	0	0.00
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		4.49		3.75
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.75		1.13	
Weighted average fair value of options granted during the period (£)	N/A		347.60	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

17. SHARE-BASED PAYMENTS (continued)

c) Long Term Incentive Plan - Options	52 weeks to 26 December 2015	52 weeks to 26 December 2015	52 weeks to 27 December 2014	52 weeks to 27 December 2014
(iv) 2011, 2012, 2013 & 2014 grants - PBT to increase by between 6% - 12%	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	269,334	2.44	318,415	1.42
Granted in period	0	N/A	96,168	3.79
Lapsed in period	0	N/A	(16,609)	1.09
Exercised in period	(76,072)	1.26	(128,640)	1.09
In issue at end of period	193,262	2.91	269,334	2.44
Exercisable at end of period	29,870	1.28	5,712	1.09
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		4.75		3.67
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.84		1.23	
Weighted average fair value of options granted during the period (£)	N/A		1.70	
Range of exercise prices for options outstanding at the period end (£):				
- from	1.09		1.09	
- to	3.79		3.79	

v) Performance Share Plan	52 weeks to 26 December 2015	52 weeks to 26 December 2015
	Number	WAEP (£)
In issue at beginning of period	0	0.00
Granted in period	51,456	0.00
Lapsed in period	(1,297)	0.00
Exercised in period	0	N/A
In issue at end of period	50,159	0.00
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average contractual life remaining for share options outstanding at the period end (years)		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.25	
Weighted average fair value of options granted during the period (£)	4.38	
Range of exercise prices for options outstanding at the period end (£):		
- from	0.00	
- to	0.00	

17. SHARE-BASED PAYMENTS (continued)

d) Share incentive scheme (SIP)	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)
In issue at beginning of period	1,251	0.00
Granted in period	3,200	0.00
Lapsed in period	(100)	0.00
Exercised in period	(311)	0.00
In issue at end of period	4,040	0.00
Exercisable at end of period	940	0.00
Number of options in the closing balance that were granted before 7 November 2002	940	
Weighted average share price for options exercised during the period		4.54
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.44	
Weighted average fair value of options granted during the period (£)	5.18	
Range of exercise prices for options outstanding at the period end (£):		
- from	0.00	
- to	0.00	

e) Share Award Plan - subject to continuing employment	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	47,517	0.00	47,517	N/A
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(25,374)	0.00	0	N/A
In issue at end of period	22,143	0.00	47,517	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average contractual life remaining for share options outstanding at the period end (years)		3.99		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.25		3.25	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model.

Scheme:	52 weeks to 26 December 2015	52 weeks to 27 December 2014
Dividend yield (%)	1.8	1.5
Expected share price volatility (%)	N/A	51.0
Historical volatility (%)	N/A	51.0
Risk-free interest rate (%)	N/A	2.2
Expected life of options (years)	3.0	4.2

18. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent company is Howden Joinery Holdings Ltd and the ultimate parent company and controlling entity is Howden Joinery Group Plc, both incorporated in Great Britain and registered in England and Wales.

The largest and smallest group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc. The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions with other group entities within the Howden Joinery Group Plc Group, on the grounds that it is a wholly owned subsidiary.